

most consistently in cases where liquidation or a sale to outside interests results ultimately in a cash distribution or its equivalent.

Examples: Three typical examples of such a consummation are given herewith.

1. *Ontario Power Service Corporation First 5¹/₂s, Due 1950.* This issue defaulted interest payment on July 1, 1932. About this time the bonds sold as low as 21. The Hydro-Electric Commission of Ontario purchased the property soon afterwards, on a basis that gave \$900 of new debentures, fully guaranteed by the Province of Ontario, for each \$1,000 Ontario Power Service bond. The new debentures were quoted at 90 in December 1933, equivalent to 81 for the old bonds. The small number of bondholders not making the exchange received 70% in cash.

2. *Amalgamated Laundries, Inc., 6¹/₂s, Due 1936.* Receivers were appointed in February 1932. The bonds were quoted at 4 in April 1932. In June 1932 the properties were sold to outside interests, and liquidating dividends of 12¹/₂% and 2% were paid in August 1932 and March 1933. In December 1933 the bonds were still quoted at 4, indicating expectation of at least that amount in further distributions.

3. *Fisk Rubber Company First 8s and Debenture 5¹/₂s, Due 1941 and 1931.* Information regarding these issues was given in Chap. 18. Receivership was announced in January 1931. In 1932 the 8s and 5¹/₂s sold as low as 16 and 10¹/₂ respectively. In 1933 a reorganization was effected, which distributed 40% in cash on the 8s and 37% on the 5¹/₂s, together with securities of two successor companies. The aggregate values of the cash and the new securities at the close of 1933 came close to 100% for the 8% bonds and 70% for the debenture 5¹/₂s.

Price Patterns Produced by Insolvency. Certain price patterns are likely to be followed during receivership or bankruptcy proceedings, especially if they are protracted. In the first place, there is often a tendency for the stock issues to sell too high, not only in relation to the price of the bond issues but also absolutely, *i.e.*, in relation to their probable ultimate value. This is due to the incidence of speculative interest, which is attracted by a seemingly low price range. In the case of senior issues, popular interest steadily decreases, and the price tends to decline accordingly, as the proceedings wear on. Consequently, the lowest levels are likely to be reached a short time before a reorganization plan is ready to be announced.